

Outlook

From	lerato.khumalo@cfo.office.keystonebank.co.za
To	analytics.retail@keystonebank.co.za, pricing.customer.value@keystonebank.co.za
Cc	product.fintech@keystonebank.co.za
Sent	Fri, 07 Aug 2020 16:52:00 -0000

A defensible value proxy for the planning round

Hi team,

Finance needs a customer-value proxy for planning, but a full profitability engine and cost allocation are not available.

We looked at a version of this before. For the August 2020 review, please show what changed and whether the earlier conclusion still holds. Please start with the decision we need to make, then show whether the available evidence is strong enough to support it.

Can you test these explanations rather than choosing one at the start?

- some low-volume relationships are strategically valuable because of loan or deposit behaviour
- high activity is being offset by service and fee friction
- recurring inflows and product depth identify durable value

The decision is how to segment relationships for planning without pretending the proxy is accounting profit. Please give us a model-ready table, data dictionary and an honest baseline.

You should be able to build the evidence from monthly account snapshots, status events, limits, product enrolments and signatories; transaction-level timestamps, channels, amounts, statuses and error context; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; customer contacts, complaints and suggestions; campaign design and customer responses. Label the result as a value proxy. It is not net interest margin, return on equity or customer profitability.

Thanks